AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS IX

ANNUAL EXAMINATIONS (THEORY) 2025

Principles of Accounting Paper II

Time: 2 hours 5 minutes Marks: 45

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INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's Signature**

RUBRIC

2. There are TEN questions. Answer ALL questions.

3. When answering the questions:

   Read each question carefully.
   Use only a black pointer to write your answers. DO NOT write your answers in pencil.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

5. You may use a simple calculator if you wish.

6. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

Q.1. (Total 4 Marks)

Explain any TWO fundamental accounting concepts. Also provide any ONE example of each from everyday business.

i. Asset

ii. Liability

iii. Capital

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Q.2. (Total 4 Marks)

Ayan is establishing a Gaming Studio. He has performed the following transactions during the month of June 2024.

(**Note**: The first transaction has been done for your assistance.)

Date	Transaction
01.06.2024	Deposited cash Rs 900,000 into the business account and brought shop premises worth Rs 1,750,000 in the business as an initial investment.
03.06.2024	Purchased laptops and gaming accessories worth Rs 1,500,000 from Computer Zone paying 10% down payment.
05.06.2024	Received bank loan for the furniture of Gaming Studio worth Rs 250,000.
07.06.2024	Paid Rs 100,000 as an advance deposit for customised furniture and fixture to Quantum Furnitures.
08.06.2024	Purchased lighting accessories for Rs 250,000.

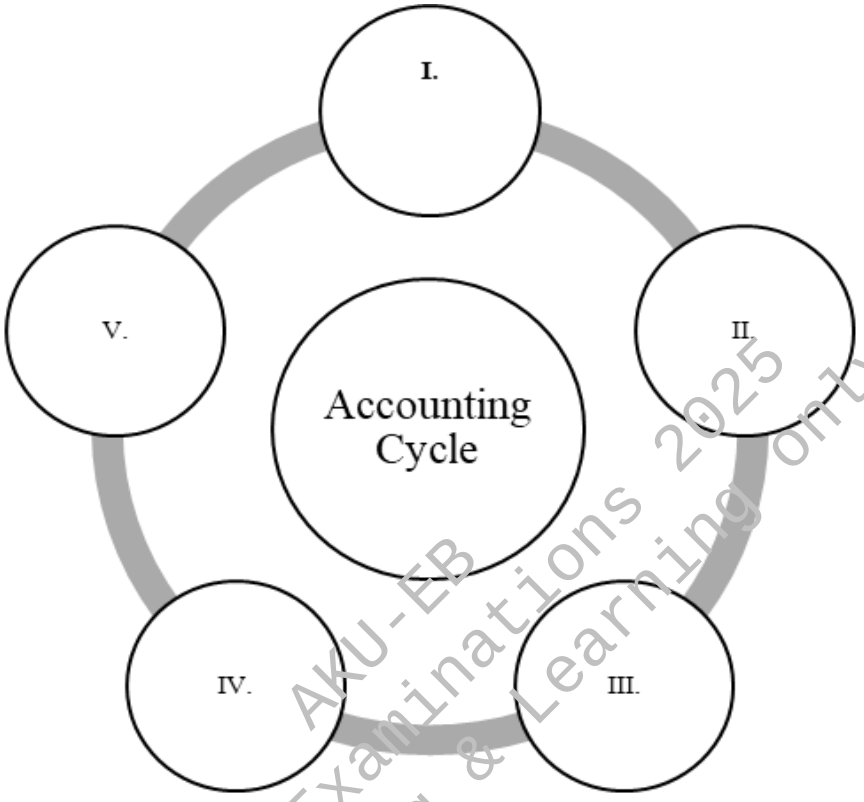
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Post the transactions in the given format of accounting equation.

Date	Cash	Fixtures	Lighting Accessories	Gaming accessories	Non-current Assets	Liability	Capital
01.06.	**900,000**				**1,750,000**		**2,650,000**

Q.3. (Total 4 Marks)

Complete the following accounting cycle.



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(**Note**: The first one is done for your assistance.)

I. **<u>Origination of Transaction</u>**

II. _____

III. _____

IV. _____

V. _____

Q.4. (Total 6 Marks)

The following records are extracted from the books of Abbas Brothers:

S.No.	Particular	Amount
1	Sales	250,000
2	Sales return	10,000
3	Inventory (Stock) opening	15,000
4	Inventory (Stock) closing	25,000
5	Purchases	150,000
6	Purchases returns	5,000
7	Transportation in	5,000
8	Advertising expense	10,000
9	Salary expense	10,000
10	Rent expense	12,000
11	Commission income	35,000
12	Miscellaneous expense	12,000

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Based on the given information, prepare a classified income statement for Abbas Brothers.

	Particular				

	Particular				

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Q.5. (Total 3 Marks)

The following information is extracted from a petty cash book of Al-Wahab Traders.

Cash Received $	C.B. Folio	Date	Particulars	V.N.	Total Payment $	Postage & Stamps $	Cartage $	Stationary $	Travel $	Misc. $
		2019								
150		Jan. 01	Balance b/d							
1,350		Jan. 01	Bank Account							
		Jan. 04	Postage Account		50	50				
		Jan. 06	Travel Exp.		100				100	
		Jan. 10	Stationary Account		150			150		
		Jan. 11	Misc. Exp.		50					50
		Jan. 15	Travel Exp.		75				75	
		Jan. 18	Cartage Account		350		350			
		Jan. 20	Postage Account		25	25				
		Jan. 24	Misc. Exp.		150					150
		Jan. 27	Stationary Account		200			200		
		Jan. 30	Stationary Account		150			150		
		Jan. 31	Misc. Exp.		50					50
		Jan. 31	Banlance C/d		150					
1,500					1,500	75	350	500	175	250
150		Feb. 01	Balance b/d							
1,350		Feb. 01	Bank A/c							

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Post the entries for the establishment, replenishment and recording of petty cash expenses for Al-Wahab Traders in the given general journal format.

General Journal				
Date	**Particular**	**P.R**	**Debit**	**Credit**

Date	Particular	P.R	Debit	Credit

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Q.6. (Total 6 Marks)

The following records are extracted from the books of Al-Fareed Traders:

Date	Transaction	Amount
1	Cash deposited into bank	100,000
2	Cash sales	15,000
3	Paid advertisement	5,000
4	Paid for supplies	3,500
5	Received written off receivables	15,000

Prepare a TWO-column cashbook for Al-Fareed Traders.

Al-Fareed Traders							
Cashbook							
Date	**Particular**	**Cash**	**Bank**	**Date**	**Particular**	**Cash**	**Bank**
	Balance	**150,000**	**250,000**				

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Q.7. (Total 4 Marks)

Differentiate between purchase journal and purchase account.

	Purchase Journal	Purchase Account
1		
2		

Q.8. (Total 4 Marks)

Anabia Limited wanted to buy twenty air conditioners (ACs) from Alifya Electronics. The tagged price of each AC was Rs 68,000 but Alifya Electronics reduced the price by Rs 2,000 each. Anabia Limited demanded that the amount will be paid after two months. A further discount of Rs 1,000 was offered by Alifya Electronics on each AC if the payment was made within 15 days. Therefore, Anabia Limited paid the amount for 20 ACs within 15 days.

With reference to the given scenario, answer the following questions:

i. Differentiate between trade discount and cash discount. (1 Mark)

ii. Find the total amount of trade discount received by Anabia Limited. (1 Mark)

iii. Find the total amount of cash discount allowed by Alifya Electronics to Anabia Limited. (1 Mark)

iv. Calculate the total amount that will be paid by Anabia Limited to Alifya Electronics. (1 Mark)

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Use the following information to answer **Q.9** and **Q.10.**

XYZ Manufacturing Ltd. purchased a new machine for its production facility on November 1, 2024. The purchase (acquisition) price of the machine was Rs 500,000 and credit term of 5/10 n/30 on list price.

In addition to the acquisition (purchase) price, the following expenses were incurred:

1. Delivery and installation cost Rs 20,000
2. Initial testing and calibration cost Rs 5,000 to ensure the machine was operational
3. Upgrade to electrical system cost Rs 30,000 to handle the machine's power requirements
4. Repairs and maintenance cost Rs 30,000 on November 15, after the machine experienced a minor malfunction
5. Lubricants and cleaning cost Rs 10,000 for routine maintenance supplies
6. The credit term availed and the machine has the operational life of 5 years. The accounting year for the business ends on October 31 each year

Q.9. (Total 5 Marks)

i. Classify each expense as either a capital expense (extraordinary expenditure) or a revenue expense (ordinary expenditure). (3 Marks)

S.No.	Expenses	Classification of Expenses
1	Delivery and installation	
2	Initial testing and calibration	
3	Upgrade to electrical system	
4	Repairs and maintenance	
5	Lubricants and cleaning	

ii. Prepare the necessary general journal entries for:

I. the purchase (acquisition) of the machine. (1 Mark)

II. the capital expenses (extraordinary expenditures) and revenue expenses (ordinary expenditures) incurred. (1 Mark)

Date	Particular	P.R	Debit	Credit

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Date	Particular	P.R	Debit	Credit

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Q.10. (Total 5 Marks)

Compute the cost of depreciation for the current year by the following methods.

i. Straight line method (fixed instalment method) (2 Marks)

ii. Diminishing balance method 20% (reducing balance method) (2 Marks)

iii. Post the general journal entry for any ONE of the given methods. (1 Mark)

Date	Particular	P.R	Debit	Credit

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END OF PAPER

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